

European Union, 255
 Excel, 68–69, 273
 Exchange rates, 22–23, 38
 Exchange traded funds (ETFs), 148, 285–286
 Execution, 54, 74, 251, 268–269
 Exponential moving average (EMA), xvi, 52,
 60–63, 72, 236–239

F

Fabozzi, Frank, 40
 Fiduciary responsibility, 13, 153
 Filter rules, 56–57
Following the Trend (first edition), xix
 Free government money, 78–83
 FTSE 100 index, 6, 39
 Fukushima tsunami, 170–171
 Futures, 8–12
 as a business, 11–15
 and correlation matrix, 69
 cross-asset trend following with, 1–19
 currencies, 37, 38*t*
 diminishing Returns of, 297–298
 diversified, 4, 49, 300
 and equities, 39–40
 gold, 37
 modelling, 275–282
 strategies, 18, 69–70, 104–105, 194,
 257, 275–282
 Futures, management of, 1–2, 8–9,
 82–83, 117, 164
 and benchmarks, 273
 benefits of, 96
 comparison to world equity markets, 8
 diversified, 4, 21, 32
 and equity portfolios, 103, 120, 255
 and execution, 268
 trend-following, 46, 300
 and volatility, 256
 Futures contracts, 22, 35–37, 60, 270.
 See also Contracts
 backtesting, 31, 280
 bond, 42
 and continuations, 30
 deliverable, 32
 in backwardation, 246
 in contango, 246
 lifespan of, 244
 losses during, 10

price correlation of, 68–69
 Futures exchanges, 21
 Futures sectors. *See also* Commodities
 agricultural, 31–33, 33*f*
 currencies, 37–38
 equities, 39–40
 non-agricultural, 34–37, 34*f*
 rates, 40–43

G

GBP (Great Britain Pound), 270
 GDAX index, 39
 German Schatz, 154
 GFC (2008 Global Financial Crisis),
 91–92, 92*f*
 Global Financial Crisis (GFC) (2008),
 91–92, 92*f*
 Great Britain Pound (GBP), 270
 Great Depression, 149
Groundhog Day (film), 76, 282

H

Hang Seng China Enterprises, 40
 Hang Seng index, 39
 Hedge funds, xiii–xix, 12, 55, 179, 185
 and buy side, 291
 CTA-managed, 1–2, 6–7, 83
 futures, 53, 109, 120
 managed accounts vs, 14–15, 265, 272
 and managed futures markets, 8
 management of, xvii, 6–7, 19, 66
 and moving average, 59
 mutual funds vs, 6
 quants, 279
 and timing, 88
 volatility of, 16–17, 272
 Hedging, 8, 11, 22–23, 220, 269–270, 285
 cost of, 26–28
 cost-of-carry model of, 35
 Henry Hub natural gas (HH), 34
 Hong Kong, 269
 Hong Kong dollar (HKD), 270

I

IBM, 21–22, 37, 99
 Initial risk level, 298–300